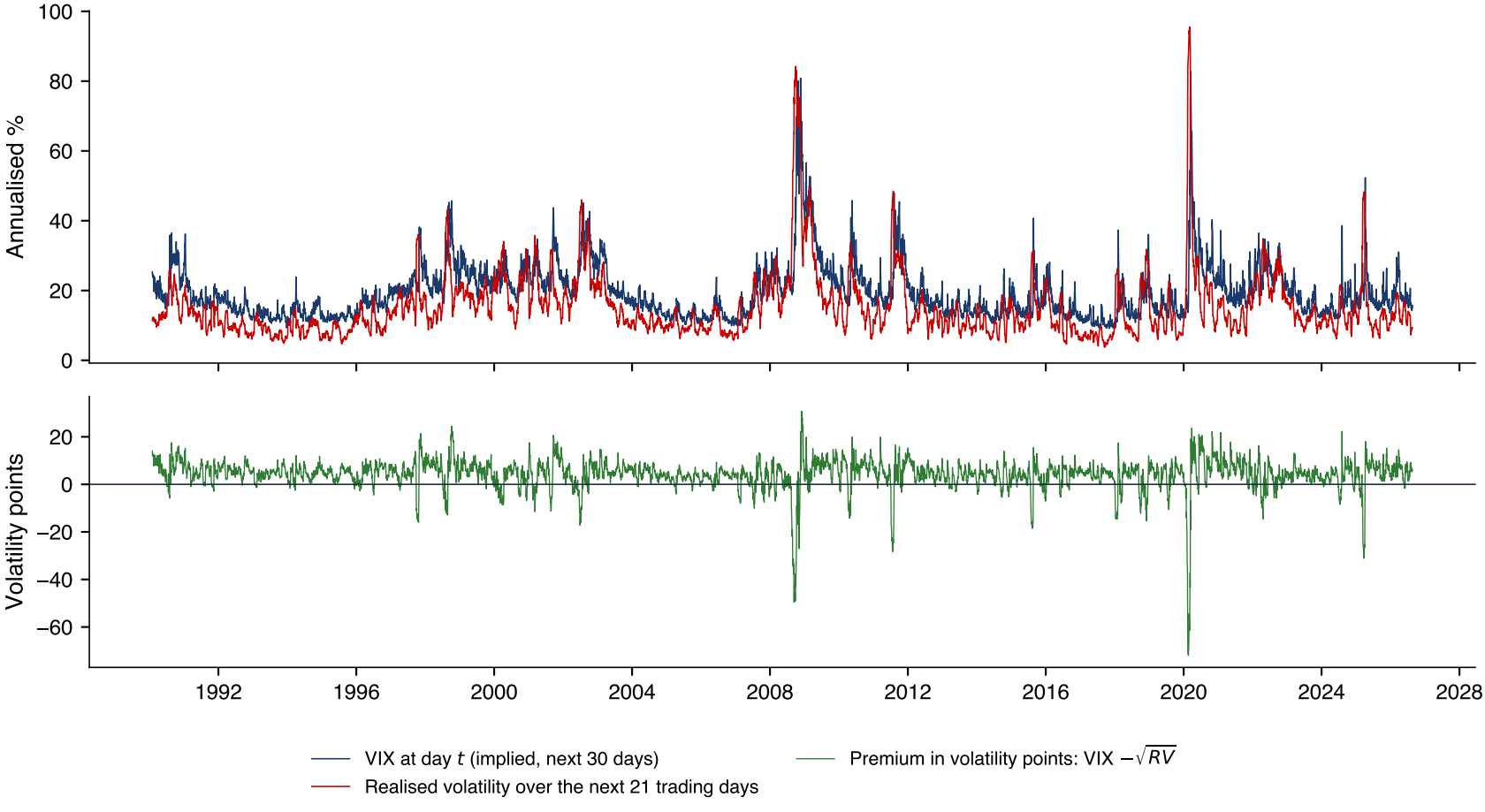

Annualised %
100
80
60
40
20
0
Volatility points
20
0
−20
−40
−60
1992
1996
2000
2004
2008
2012
2016
2020
2024
2028
VIX at day t (implied, next 30 days)
Realised volatility over the next 21 trading days
Premium in volatility points: VIX $-\sqrt{RV}$